

MERIDIAN VENTURES FUND I

ArcWealth Pte. Ltd.

Series B Follow-On | USD 4M Pro-Rata

Wealthtech and Private Banking Infrastructure | Singapore | Q3 2027

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ArcWealth | 18 Months Since Series A Close

USD 4.1M ARR +128% from Series A close	27 Client Count +15 from 12 at Series A	124% Net Revenue Retention Improved from 118%	74% Gross Margin Tracking to 78 to 82% target
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Milestone	Series A Target	Actual at Series B Date	vs Target
ARR Year 1 (80% growth target)	USD 3.2M	USD 3.7M	Above target
ARR Year 2 (60% growth target)	USD 5.1M	USD 4.1M (on track)	In line with target
Gross margin Year 1	72%	74%	Above target
Monthly churn	Below 3%	0.6%	Well above target
Adjacent segment roadmap (condition from Series A)	Q2 2026 IC presentation	Delivered Q2 2026, on time	Met
Monthly KPI reporting (condition from Series A)	Commencing at close	Every month, on time, 18 months	Met

Gate 2 Assessment | Series B Follow-On Criteria

Gate 2 Criterion	Required	ArcWealth	Status
Revenue growth Series A to Series B	Minimum 60%	128% growth	Pass
Gross margin	Positive at Series B date	74%	Pass
Net revenue retention	Above 100%	124%	Pass
CAC payback period	Stable or improved	3.1 months (improved from 3.6 months at Series A)	Pass
Series B pre-money vs LHS P75	At or below USD 48.3M (P75 LHS case)	USD 45M pre-money	Pass
CEO continuity	No unplanned departure	All three co-founders in post	Pass
LHS re-run required	Required if Series B pre-money exceeds P75	Not required (pre-money below P75)	Not required

All Gate 2 mandatory criteria are met. The Series B is not overpriced relative to the original valuation distribution. LHS model re-run is not required under the stage gate criteria.

Series B Terms and Follow-On Sizing

Parameter	Detail
Series B total round size	USD 20M
Lead investor	Growth equity fund (Singapore-based, institutional)
Pre-money valuation	USD 45M
Post-money valuation	USD 65M
Meridian pro-rata right	USD 4M (20% of USD 20M round, maintaining 20% ownership fully diluted)
Above pro-rata considered	Not exercised. Round fully subscribed at pro-rata. Concentration increase not justified.
New ownership post-ESOP refresh	20.3% fully diluted
Co-investment tranche	USD 800K offered to eligible clients at same terms as institutional round

The Series B is led by an institutional growth equity fund whose independent due diligence provides external validation of ArcWealth's growth trajectory. Pro-rata deployment maintains the 20% position without above pro-rata concentration risk.

LHS Model Update | Series B Parameters

LHS model re-run with updated Series B assumptions. Revenue trajectory narrows the input distribution relative to Series A. Exit multiple range adjusted for observed comparable transactions in Asia-Pacific wealthtech 2026 to 2027.

Input Variable	Series A Assumption	Series B Assumption	Rationale
Revenue growth Years 3 to 5	Mean 55%, Std 20%	Mean 45%, Std 15%	Growth normalization at larger ARR base expected. Distribution narrows as execution evidence accumulates.
Terminal EBITDA margin	Mean 22%, Std 8%	Mean 24%, Std 6%	Gross margin tracking above original model. Structural margin evidence supports higher terminal assumption.
Exit multiple EV/EBITDA	Mode 14x, Min 8x, Max 25x	Mode 15x, Min 10x, Max 22x	2026 comparable transactions support higher floor. Uncertainty range narrows with more comp data.
WACC	Mean 18%, Std 3%	Mean 15%, Std 2.5%	Series B de-risking. Execution hypothesis validated. Institutional co-lead reduces future round risk.
Percentile	Series A Equity Value	Series B Equity Value	Change
P10	USD 12.4M	USD 22.1M	+78%
P50	USD 31.8M	USD 52.4M	+65%
P90	USD 68.5M	USD 98.3M	+44%

Series B Use of Proceeds and Growth Plan

Allocation	Amount	Objective	
Product: adjacent segment build	USD 7M	Client onboarding workflow and regulatory reporting modules. Expands serviceable TAM from USD 54M toward USD 500M+. Beta with three clients targeted within 12 months of close.	
Sales: corridor expansion	USD 6M	Indonesia and Malaysia commercial bank PB corridor expansion. 120 additional target institutions at USD 120K average ACV. Dedicated Indonesia regulatory counsel included in budget.	
Engineering: platform scaling	USD 4M	Infrastructure for 100-client scale. Multi-tenancy architecture upgrade. Custodian integration layer for two additional Southeast Asian custodians.	
Team	USD 2M	Senior hires in product and enterprise sales. ESOP refresh for key retention at Series B valuation.	
Working capital	USD 1M	Runway extension to 30 months post-close.	
Period	ARR Target	Client Target	Key Milestone
12 months post-close	USD 6.5M	40 clients	Adjacent module in beta with three clients. Indonesia corridor revenue above USD 500K ARR.
24 months post-close	USD 10M	60 clients	Indonesia corridor above USD 1M ARR. Adjacent segment contributing 20% of total ARR.

ArcWealth in the Fund I Portfolio Context

Portfolio Parameter	Fund I Limit	Post-Follow-On	Status
ArcWealth total capital (USD 8M Series A plus USD 4M Series B)	15% of fund commitments	6.0% of USD 200M	Well within limit
Singapore corridor concentration	40% maximum	est. 28% post-deployment	Within limit
Wealthtech sector concentration	35% maximum	est. 26% post-deployment	Within limit
Co-investment tranche offered to clients	20% maximum of deal	USD 800K of USD 4M (20%)	At limit

J-Curve Context

ArcWealth is on track to generate a distribution event at year 7 to 8 of the fund lifecycle, consistent with the portfolio model. The year 6 distribution in the J-curve model is driven by WealthBridge CN, which is independent of ArcWealth. ArcWealth's exit window targets year 7 to 8 as adjacent segment expansion matures to an acquirable scale for a regional or global financial data infrastructure acquirer.

Key Risks and Mitigants at Series B

Risk	Severity	Probability	Mitigant
Adjacent segment build executes below plan	Medium	Medium	Core business generates positive unit economics independently. Adjacent build failure delays TAM expansion but does not threaten core returns. P50 core-only case still generates 3.3x gross MOIC.
Competitor builds Asia-Pacific custodian integration	High	Low	12 to 18 month rebuild timeline for any well-resourced competitor. ArcWealth will have 50 to 60 contracted clients before a competitor could reach market. Switching cost at that scale is material.
Indonesia regulatory complexity delays corridor expansion	Medium	Medium	OJK compliance is a known requirement, budgeted in Series B proceeds. Dedicated Indonesia regulatory counsel engaged at close. Indonesia revenue target is 15% of total, not a fund-level dependency.
Valuation compression in exit market	High	Low to Medium	P50 Series B equity value of USD 52.4M provides 3.3x headroom above USD 12M total capital deployed. P10 case of USD 22.1M still generates positive return on combined capital.

IC Recommendation | Series B Follow-On

Gate 2 Summary	Required	ArcWealth	Status
All mandatory criteria	All met	All met	Pass
Series B pre-money vs P75	At or below USD 48.3M	USD 45M	Pass
Revenue growth	Minimum 60%	128%	Pass
Team continuity	No unplanned departure	Full team	Pass
Decision Parameter	Detail		
Vote	Approve, two-to-one majority (follow-on threshold)		
Investment	USD 4M Series B follow-on at USD 45M pre-money		
New fully diluted ownership	20.3% (marginal dilution from ESOP refresh)		
Co-investment tranche	USD 800K offered to eligible clients at same terms		
Board seat	Observer seat maintained. No upgrade to full board seat at this stage.		
LP Advisory Board	Notified within 5 business days per fund governance requirements		
Rationale	All Gate 2 mandatory criteria met. Revenue growth of 128% materially exceeds 60% minimum. Series B pre-money below P75 LHS case. Team fully intact. The follow-on is a straightforward exercise of the expand option captured at Series A. The option value is converting to intrinsic value at a validated growth trajectory.		

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